

The Rich Report

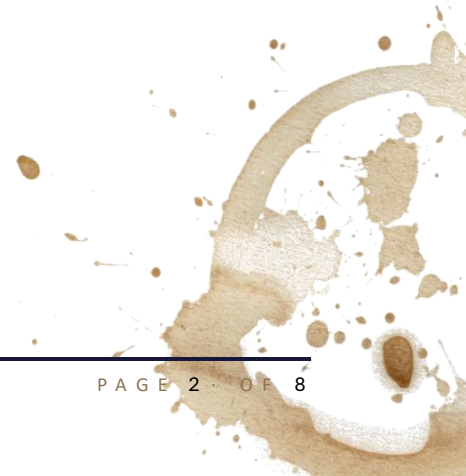
U.S. ECONOMICS NEWS

- ◆ **Housing Stagnation:** Existing home sales fell 1.7% in July to a 4.06 million annual rate, a pace essentially unchanged for three years and well below the pre-COVID norm of ~5.25 million. Mortgage rates have jumped ~70 basis points since February to 6.8% following the Iran conflict-driven energy spike, compounding an already severe affordability crunch that is keeping buyers on the sidelines.³
- ◆ **Earnings vs. Price:** The disconnect between earnings expectations and stock performance is stark in several subsectors — Application Software and Data Processing & Outsourcing fell 18% and 24.5% YTD despite positive EPS estimate revisions, suggesting AI disruption fears are overriding fundamentals. Advertising suffered the sharpest earnings cuts, with 2026 and 2027 EPS estimates slashed 49.5% and 47.0% respectively.³
- ◆ **Cooling CPI:** July CPI rose just 0.1%, matching expectations, bringing the annual rate to 3.4% — elevated largely due to energy prices that remain 14.7% higher year-over-year following the Iran conflict. Core CPI held at 0.2% monthly and 2.5% annually, down from 3.1% a year prior, reducing pressure on the Fed to hike in September, though inflation remains above the 2.0% target.³
- ◆ **Wage Erosion:** Real average hourly earnings declined 0.1% in July and are down 0.2% over the past year, meaning workers continue to lose ground to inflation despite nominal wage growth. Housing rents remain the largest core inflation driver, rising 0.3% in July, while airline fares — up 25.5% year-over-year — highlight how geopolitical energy shocks are rippling through service costs.³
- ◆ **PPI Surprise:** The Producer Price Index held flat in July, below the expected 0.2% gain, as a 5.7% drop in gasoline prices drove goods prices down 0.7% and offset a 0.2% rise in services. Annually, PPI is still up 4.7% — well above the 3.2% pace of a year ago — with intermediate processed goods up 9.9%, signaling persistent upstream pipeline pressure despite near-term relief.³
- ◆ **Fed Balance Sheet:** After peaking near \$9 trillion in 2022, Quantitative Tightening reduced Fed assets by roughly \$2.4 trillion to ~\$6.5 trillion by end-2025 — still more than 50% above pre-COVID levels. New Fed Chair Kevin Warsh favors a smaller footprint, but the Fed has already reversed course, resuming ~\$40 billion in monthly Treasury bill purchases, pushing assets back to \$6.75 trillion.³

The Rich Report

DIGITAL ASSETS NEWS

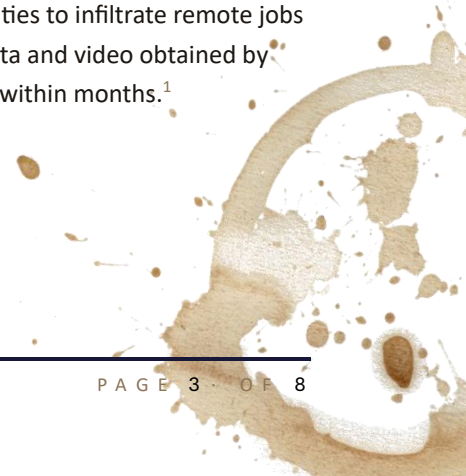
- ◆ **UBS Dramatically Scales Bitcoin Exposure:** Swiss banking giant UBS amplified its cryptocurrency positioning with a striking 24-fold surge in Bitcoin ETF call options, signaling a decisive institutional pivot toward digital assets. The move reflects growing confidence among traditional finance heavyweights that Bitcoin has matured into a legitimate portfolio allocation — a sharp contrast to the banking sector’s historically cautious stance on crypto.⁵
- ◆ **Clarity Act Stalls in Senate:** Despite passing the House, the landmark crypto market-structure legislation hit a procedural wall as the U.S. Senate departed for August recess without holding a floor vote. Senate Majority Leader John Thune acknowledged the delay but committed to scheduling action upon the chamber’s return September 14, leaving the industry in a holding pattern during a critical regulatory window.⁵
- ◆ **Tether Audited:** After years of controversy and repeated delays, KPMG U.S. completed a full financial audit of Tether — the world’s largest stablecoin issuer with \$180B in USDT circulation — verifying its reserve holdings and physically counting its gold bars on-site. The audit fulfills a commitment Tether has faced pressure to deliver since questions about its backing first emerged over a decade ago.⁵
- ◆ **Mastercard Closes \$1.8B BVNK Acquisition:** Mastercard finalized its purchase of stablecoin infrastructure firm BVNK on August 3, integrating technology that allows businesses to send, receive, and settle payments in both fiat and digital currencies through a single API layer. The deal accelerates Mastercard’s broader push to bridge traditional financial rails with blockchain-based settlement, positioning it to compete in an increasingly tokenized global payments landscape.⁵
- ◆ **Banks vs. Stablecoins:** Tokenized deposits — blockchain-based representations of traditional bank balances — are gaining serious momentum as banks’ answer to stablecoins. In Q2 2026, adoption accelerated sharply among major U.S. institutions, with 24 of the 50 largest banks actively tracking the technology. Wells Fargo’s entry on August 4 marked a significant signal, suggesting the industry is moving from experimentation toward competitive deployment.⁵



The Rich Report

GEOPOLITICS NEWS

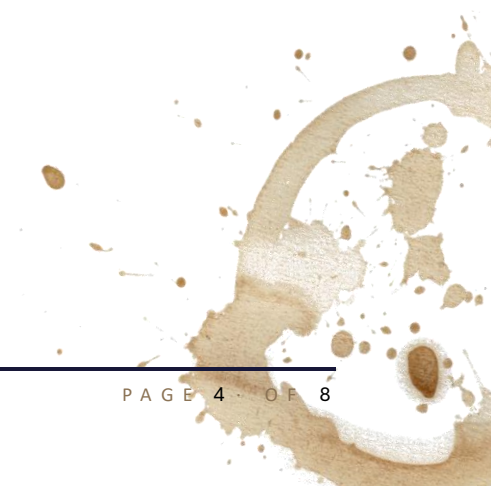
- ◆ **Germany:** The cabinet approved measures granting intelligence services new powers to hack communications, collect data, and conduct active operations against foreign adversaries. Both the BND and BfV would gain authority to use AI tools in offensive operations — a significant shift from their historically circumscribed post-WWII mandates.¹
- ◆ **Pakistan / Iran / US:** Pakistan's defense minister said the US and Iran are "close to some sort of arrangement" over the Strait of Hormuz, even as Tehran said talks showed no progress. Pakistan's interior minister traveled to Tehran for talks, and Oman-brokered discussions about reopening the strait to some shipping were reported to have reached an advanced stage.¹
- ◆ **Russia / Ukraine / Energy:** Ukraine's near-daily drone strikes on Russian oil refineries are causing fuel shortages across multiple Russian regions. The Orenburg, Kaluga, and Astrakhan regions have introduced rationing and sales limits, with the Orsk refinery — 1,500 km from Moscow — potentially out of service for six months.¹
- ◆ **UAE / Iran:** Iran fired drones at two tankers operated by Abu Dhabi state oil company ADNOC as they transited the Strait of Hormuz, with the UAE calling the attacks acts of piracy. No casualties were reported, but the incident underscores Iran's continued willingness to target Gulf state shipping through the strategically critical waterway.¹
- ◆ **US / Iran / Blockade:** US forces fired a helicopter-launched missile at the rudder of a Panama-flagged containership attempting to breach the American naval blockade of Iranian ports in the Gulf of Oman, causing a fire that was extinguished with all 17 crew accounted for. The incident follows the deaths of three Indian sailors in a June enforcement operation — the first fatalities from the blockade campaign.¹
- ◆ **US / Iran / Intelligence:** US intelligence officials could not independently verify Israeli warnings — passed over the past year — that Iran planned to assassinate President Trump, including plots involving a sniper or shoulder-launched missile during the NATO summit in Ankara. The CIA has long assessed Iran seeks retaliation for the 2020 killing of Qassem Soleimani, but specific Israeli tips have not been corroborated.¹
- ◆ **US / North Korea:** Thousands of North Korean operatives are using fake and stolen identities to infiltrate remote jobs at US companies, funneling hundreds of millions of dollars back to Pyongyang. Leaked data and video obtained by the Wall Street Journal reveal how a single team penetrated at least eight US companies within months.¹



The Rich Report

THE GOOD NEWS

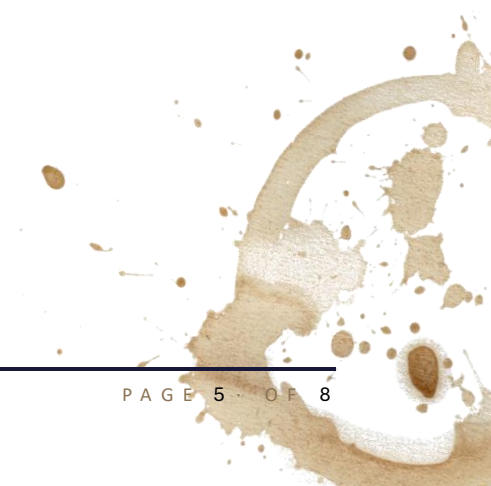
- ◆ **Encryption Security:** Claude Mythos Preview identified novel vulnerabilities in a weakened version of the Advanced Encryption Standard, breaking it 200–1,000 times faster than previous human research. While current encryption remains safe, the finding marks a significant milestone: AI has now matched and surpassed human capability in cryptographic research, a field previously considered too mathematically dense for language models.²
- ◆ **Math Breakthrough:** A Harvard mathematician, assisted by AI, disproved the Jacobian conjecture — an 87-year-old problem on mathematician Stephen Smale’s list of the 21st century’s hardest mathematical challenges. The counterexample was verified almost immediately by peers worldwide. Experts call it the most significant mathematical conjecture AI has yet helped crack, reflecting remarkable acceleration in AI’s mathematical reasoning over just the past year.²



The Rich Report

DIVIDEND PORTFOLIO NEWS

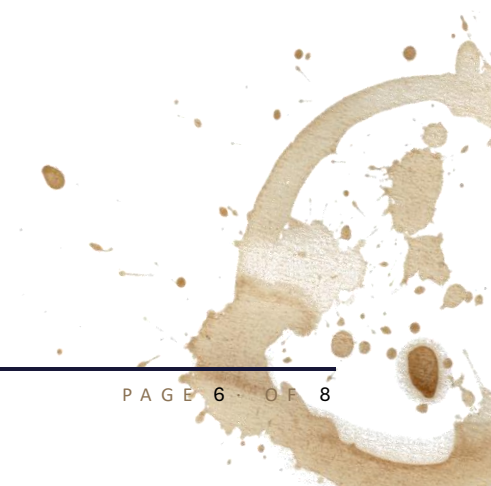
- ◆ **CL:** The Trump administration proposed closing a loophole related to food ingredients, a regulatory development with potential implications for consumer products companies including CL.⁴
- ◆ **LMT:** Won a \$211M THAAD contract modification for UAE launchers; Pentagon opened the Golden Dome missile defense portal broadening bids for the \$185B program; LMT is testing 5G drone detection and a containerized rocket launcher, and U.S. drone tariffs seen as positive for domestic defense manufacturers.⁴
- ◆ **LRCX:** Announced a \$3B, five-year investment into its global R&D lab network, signaling a major long-term commitment to semiconductor equipment innovation.⁴
- ◆ **NEE:** Entered a deal with U.S. and Japanese governments to fund up to 10 GW of new gas-powered generation capacity, expanding its energy infrastructure footprint beyond renewables.⁴
- ◆ **PCAR:** Einride partnered with PACCAR to advance Level 4 autonomous trucking plans, marking a meaningful step in PACCAR's autonomous vehicle strategy.⁴



The Rich Report

GROWTH PORTFOLIO NEWS

- ◆ **AMD:** AMD launched a \$4.75B debt offering and separately filed a mixed shelf offering potentially raising up to \$5B.⁴
- ◆ **CVX:** Chevron discovered oil and gas condensate offshore Angola, adding to its exploration portfolio.⁴
- ◆ **FTNT:** Fortinet acquired Virtue AI, an AI security firm, expanding its cybersecurity platform. Separately, Trump signed a memo enlisting private sector firms in cyber operations against foreign criminal groups, a potential revenue catalyst for Fortinet.⁴
- ◆ **HOOD:** Robinhood's July equity average daily volume fell 19% month-over-month but rose 56% year-over-year. The company plans to boost closed-fund IPO frequency, and its Ventures Fund II priced at \$25/share.⁴
- ◆ **NVDA:** Nvidia announced a \$500B AI financing structure, committing \$1.5B to SB Energy tied to an OpenAI Ohio data center, though the WSJ reported Nvidia scaled back its guarantee to under \$120B. Spectrum X CPO switches entered mass production with 100K unit shipments forecast for 2027. Nvidia also launched the Nemotron 3.5 Lightning open model and disclosed a stake in SpaceX.⁴
- ◆ **SYF:** Synchrony announced a partnership with OpenAI to advance agentic commerce capabilities, positioning the company at the intersection of AI and consumer finance in a potentially significant long-term initiative.⁴
- ◆ **TSM:** Taiwan Semiconductor and Sony announced a nearly \$4.7B joint venture to produce image sensors. Nvidia's Spectrum X CPO switches entering mass production represents incremental fab demand for TSMC.⁴



The Rich Report

SUMMARY

In regard to the United States Economy, inflation showed signs of cooling as July CPI rose just 0.1%, bringing the annual rate to 3.4%, with energy prices still elevated following the Iran conflict. Core inflation held at 2.5% annually, reducing immediate Fed pressure to hike rates. Meanwhile, real wages declined, leaving workers losing ground to inflation. Housing remains deeply stalled, with existing home sales running well below pre-COVID norms amid 6.8% mortgage rates.

In the world of digital assets, institutional adoption accelerated as a major Swiss bank dramatically increased its Bitcoin ETF exposure, signaling growing confidence among traditional finance. Mastercard finalized its acquisition of a stablecoin infrastructure firm, while major U.S. banks moved closer to deploying tokenized deposit technology. The world's largest stablecoin issuer completed a long-awaited full financial audit, adding meaningful credibility to the sector. Landmark crypto legislation remains delayed in the Senate until September.

Recently around the globe, geopolitical tensions centered on the Strait of Hormuz. Iran targeted tankers operated by a Gulf state's national oil company, while U.S. naval forces enforced a blockade of Iranian ports, firing on a vessel attempting to breach it. Diplomats from multiple nations reportedly made progress toward reopening the strait to some shipping. Separately, North Korean operatives continued infiltrating U.S. companies through fake identities to fund Pyongyang's regime.

For the good news, artificial intelligence achieved two remarkable milestones. An AI model identified novel cryptographic vulnerabilities, breaking a weakened encryption standard hundreds of times faster than prior human research. Separately, a Harvard mathematician working with AI disproved an 87-year-old conjecture considered among the century's hardest mathematical problems. Peers verified the result almost immediately, reflecting an extraordinary acceleration in AI's capacity for advanced mathematical and scientific reasoning beyond what experts anticipated.

In the news for the dividend portfolio, a major aerospace holding won a missile defense contract and expanded autonomous defense technology testing. A clean energy holding announced a large gas-powered generation deal backed by U.S. and Japanese governments. A semiconductor equipment company committed three billion dollars to global R&D over five years, though a peer's disappointing guidance introduced sector caution. Regulatory developments in consumer products warranted monitoring for one consumer staples holding.

And, for the growth portfolio, Nvidia dominated the week, announcing a massive AI financing structure while high-speed networking hardware entered mass production. Taiwan Semiconductor announced a joint venture with Sony worth nearly five billion dollars for image sensor production. Fortinet expanded its cybersecurity platform through acquisition, and Robinhood's trading volumes showed strong year-over-year improvement despite a monthly dip. Synchrony announced a partnership with OpenAI, positioning the company at the intersection of artificial intelligence and consumer finance.

The Rich Report

RESOURCES

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
- ◆ <https://newsletter.humanprogress.org/>
- ◆ Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
- ◆ <https://seekingalpha.com/>
- ◆ <https://www.coindesk.com/latest-crypto-news>

IMPORTANT INFORMATION

Paradiem, LLC is a Registered Investment Advisor. This material is provided solely for informational and educational purposes and should not be construed as personalized investment, legal, or tax advice, or as an offer to buy or sell any security. Advisory services are provided only pursuant to a written agreement. The opinions expressed reflect Paradiem's views as of the date of publication and are subject to change without notice based on market or other conditions. Forward-looking statements, forecasts, and expectations are inherently uncertain and are not guarantees of future results. References to specific securities, industries, or sectors are provided solely to illustrate our investment research and portfolio management process. They should not be considered recommendations to purchase, sell, or hold any security. Current holdings and portfolio allocations may change at any time without notice and may differ from those discussed herein. The securities discussed do not represent all securities purchased, sold, or recommended for client accounts. A complete list of recommendations made during the preceding twelve months is available upon request. Investing involves risk, including the possible loss of principal. Diversification and asset allocation do not ensure a profit or protect against loss. Past performance is not indicative of future results. While information contained herein is believed to be reliable, Paradiem makes no representation as to its accuracy or completeness. Investors should consult their financial, legal, and tax professionals before making any investment decisions.